

GODREJ CONSUMER PRODUCTS FOCUSES ON HAATS AND MELAS IN THE 17,000 VILLAGES WHERE IT HAS A PRESENCE. **RURAL SALES: Rs 418 crore**

rural demand, Maruti Suzuki's sales increased 10 per cent to 70,785 and Hero Honda's sales jumped 23 per cent to 3.82 lakh units in May 2009 compared to May 2008. The story is no different for the consumer electronics industry. According to Euro-monitor, 40 per cent of all refrigerators and washing machines sold have been bought by rural consumers. Almost 60 per cent of India's annual gold jewellery de-

Statistics show that in time rural India will consume more of consumer items like toothpaste, soap, detergent, coffee, ketchup and jam, which currently have less than 30 per cent penetration in rural and semi-urban areas. And by 2012, this market will account for 60 per cent of the consumption of fast-moving consumer goods (FMCG) in the country, as consumption in urban areas will stagnate. Assocham's report

services to capture a share of the wallet of this hungry consuming class. Two years ago, Hero Honda set up a dedicated rural vertical. Given that penetration of two-wheelers in rural India is only 8 per cent, the company decided to seize the latent potential of this market. Anil Dua, senior vice-president (marketing and sales), Hero Honda, says: "Some of our entry-level products are tailored to suit the needs of the rural consumer like adjustable suspension, strong headlights and good ground clearance. Currently, the company is carrying out foundational activity to connect with the consumers as word of mouth is very important in this segment." It has doubled its touch-points in



Hero Honda

RURAL INITIATIVE: *Har Gaon Har Angan* seeks to build an ongoing relationship with millions of households in rural India through a network of 500 rural sales executives. The company set up a rural vertical in 2007 to approach this market in a focused manner and seeks to reach 25,000 villages by the end of 2009.

RURAL SALES: 14 lakh units

ALL INDIA SALES: 36 lakh units

mand comes from villages, adding up to a whopping Rs 60,000 crore. Of the 43 million watches sold in India, 17.2 million are sold in villages and small towns. Rural India accounts for 30 per cent of the Rs 900-crore hair colour market. Even the hottest selling service in the country, mobile phones, reaches only 13 per cent of rural population, so that's a big opportunity.

on rural consumption says that by 2012 the per capita income in rural areas will double while that of semi-urban people will more than double. The rising per capita income will also lead to a hike in consumption of FMCG products.

Companies like Hero Honda, Titan and Nokia have been working on their rural strategies for at least a couple of years, so they are now rolling out products and

rural areas from 2,000 in 2006 to 3,500 last year.

Companies are rolling out the red carpet to capture the new consumer's imagination. While FMCG companies are improving market penetration by appointing more distributors and stockists, others are rolling out innovative products and services to meet specific needs of the rural consumer. Godrej Con-